

Organizational Systems — Module 03: Perception — Discussion Questions

20 unique questions mixing analytical and applied perspectives on organizational sensing.

1. Explain why an organization can never directly observe the "true" state of its market. What are the practical implications for how strategy is formulated?
2. Compare the sensory channels available to a pharmaceutical company versus a social media platform. How do differences in sensing speed, richness, and reliability shape each company's strategic behavior?
3. A CEO says: "I trust my gut more than the data." Using the concept of precision weighting, explain what this CEO is actually doing in Active Inference terms. When is this approach adaptive, and when is it pathological?
4. Describe the mechanism by which **confirmation bias** operates in organizations. How does excessive precision on prior beliefs cause an organization to filter out disconfirming evidence?
5. Why is **information overload** (too many metrics, too many reports) just as dangerous as **insufficient sensing**? Frame your answer in terms of precision allocation.
6. How does **signal distortion** occur as information travels up the organizational hierarchy? What organizational designs might reduce this distortion?
7. Distinguish between **passive perception** (receiving available data) and **active sensing** (deliberately seeking information). Provide two examples of each in a business context.
8. Kodak's failure to perceive digital disruption is often attributed to corporate arrogance. Using the Active Inference framework, provide a more precise diagnosis. What specific sensory and structural failures were at play?

9. How does the speed of an organization's sensory channels affect its competitive advantage? Compare a company with real-time analytics to one that relies on monthly financial reports.
10. What role does **diversity** play in organizational perception? How do teams with diverse backgrounds and expertise create a richer sensory apparatus than homogeneous teams?
11. Conduct a **perceptual audit** of your organization using the template from the module. Identify the three most critical sensing gaps and propose concrete improvements for each.
12. Your organization just missed a major market shift that a competitor detected 6 months earlier. Walk through a root cause analysis: was this a failure of sensory channels (no data), precision weighting (data was ignored), or inference (data was misinterpreted)?
13. Design an **early warning system** for your industry. What weak signals should it monitor? How frequently? What would trigger escalation to senior leadership?
14. Your company's customer satisfaction survey consistently shows high scores, but churn is increasing. Using the concept of signal distortion and measurement artifacts, diagnose what might be wrong with the sensing mechanism.
15. You are launching a product in a completely new market where you have no historical data. Design an **active sensing strategy** — a series of deliberate actions whose primary purpose is to reduce your uncertainty about customer preferences.
16. Compare how a military organization senses its environment versus how a hospital senses its environment. What can business organizations learn from each about the design of sensing systems?
17. A data-driven organization measures everything but seems unable to act on the information. Diagnose this using the Active Inference framework. What is the relationship between sensing and acting, and how can sensing without acting increase organizational free energy?

18. Your organization has a powerful competitive intelligence team, but their reports rarely influence executive decisions. Using precision and inference concepts, explain this disconnect and propose structural changes.
19. Social media gives organizations unprecedented real-time sensing capability, but the signals are noisy and biased toward vocal minorities. Design a precision-appropriate approach to incorporating social media data into organizational decision-making.
20. Reflect on a time when your organization's perception of a situation was dramatically wrong. Was the failure in the sensory channels, the precision assigned to signals, or the interpretation of the data? What systemic changes were made afterward, if any?